No. 21-1397

No. 21-1397

IN THE

Supreme Court of the United States

IN THE
Supreme Court of the United States

IN RE GRAND JURY

IN RE GRAND JURY

On Writ of Certiorari to the
United States Court of Appeals
for the Ninth Circuit

On Writ of Certiorari to the United States Court of Appeals for the Ninth Circuit

BRIEF FOR THE PETITIONER

BRIEF FOR THE PETITIONER

Evan J. Davis
HOCHMAN SALKIN TOSCHER PEREZ P.C.
9100 Wilshire Blvd., Suite 900W
Beverly Hills, CA 90212
(310) 281-3200
Davis@taxlitigator.com

Daniel B. Levin
Counsel of Record
Jeffrey Y. Wu
J. Max Rosen
MUNGER, TOLLES & OLSON LLP
350 S. Grand Avenue
50th Floor
Los Angeles, CA 90071-3426
(213) 683-9135
Daniel.Levin@mto.com

Donald B. Verrilli, Jr.
Rachel G. Miller-Ziegler
Dahlia Mignouna
MUNGER, TOLLES & OLSON LLP
601 Massachusetts Ave. NW
Suite 500E
Washington, DC 20001-5369
(202) 220-1100
Donald.Verrilli@mto.com

Daniel B. Levin
Counsel of Record
MUNGER, TOLLES & OLSON LLP
350 South Grand Avenue, 50th Floor
Los Angeles, CA 90071-3426
(213) 683-9135
Daniel.Levin@mto.com

Counsel for Petitioner

Donald B. Verrilli, Jr.
MUNGER, TOLLES & OLSON LLP
601 Massachusetts Ave. NW, Suite 500E
Washington, DC 20001-5369
(202) 220-1100
Donald.Verrilli@mto.com

Evan J. Davis
HOCHMAN SALKIN TOSCHER PEREZ P.C.
9100 Wilshire Blvd., Suite 900W
Beverly Hills, CA 90212
(310) 281-3200
Davis@taxlitigator.com

Question Presented

Whether a communication involving both legal and non-legal advice is protected by attorney-client privilege where obtaining or providing legal advice was one of the significant purposes behind the communication.

QUESTION PRESENTED

Whether a communication involving both legal and non-legal advice is protected by attorney-client privilege where obtaining or providing legal advice was one of the significant purposes behind the communication.

Parties to the Proceedings

The parties to the proceeding are identified in the Sealed Petition for a Writ of Certiorari.

PARTIES TO THE PROCEEDINGS

The parties to the proceeding are identified in the Sealed Petition for a Writ of Certiorari.

Corporate Disclosure Statement

The corporate disclosure statement included in the Sealed Petition for a Writ of Certiorari remains accurate.

CORPORATE DISCLOSURE STATEMENT

The corporate disclosure statement included in the Sealed Petition for a Writ of Certiorari remains accurate.

Table of Contents

Page

Question Presented i
Parties to the Proceedings ii
Corporate Disclosure Statement ii
OPINIONS BELOW 1
JURISDICTION 1
FEDERAL RULE OF EVIDENCE INVOLVED 1
INTRODUCTION 2
STATEMENT 3
SUMMARY OF THE ARGUMENT 5
ARGUMENT 6
I. Dual-Purpose Communications Are Entitled To Robust Attorney-Client Privilege Protection 6
CONCLUSION 7

TABLE OF CONTENTS

Page

QUESTION PRESENTED i
PARTIES TO THE PROCEEDINGS ii
CORPORATE DISCLOSURE STATEMENT ii
OPINIONS BELOW 1
JURISDICTION 1
FEDERAL RULE OF EVIDENCE INVOLVED 1
INTRODUCTION 2
STATEMENT 4
SUMMARY OF THE ARGUMENT 10
ARGUMENT 13
I. Dual-Purpose Communications Are Entitled To Robust Attorney-Client Privilege Protection 13
II. The Court Should Adopt The Significant Purpose Test For Dual-Purpose Communications 17
A. The Significant Purpose Test Appropriately Protects The Attorney-Client Privilege 17
B. The Ninth Circuit's Single Primary Purpose Test Will Erode The Attorney-Client Privilege And Cannot Be Administered In A Fair and Predictable Manner 24

Table of Authorities

Cases

Fisher v. United States, 425 U.S. 391 (1976) 3, 6

In re Kellogg Brown & Root, Inc., 756 F.3d 754 (D.C. Cir. 2014) 4, 5

Swidler & Berlin v. United States, 524 U.S. 399 (1998) 6

United States v. Abrahams, 905 F.2d 1276 (9th Cir. 1990) 3, 4

United States v. Cote, 456 F.2d 142 (8th Cir. 1972) 3

United States v. Kovel, 296 F.2d 918 (2d Cir. 1961) 5

Upjohn Co. v. United States, 449 U.S. 383 (1981) 2, 3, 6

Statutes

26 U.S.C. § 7525 3

Rules

Fed. R. Evid. 501 6

Sedco Int'l, S. A. v. Cory,
683 F.2d 1201 (8th Cir. 1982) 26

Smith-Brown v. Ulta Beauty, Inc.,
2019 WL 2644243 (N.D. Ill. June 27, 2019) 22

Swidler & Berlin v. United States,
524 U.S. 399 (1998) ..... passim

United States v. *Abrahams*,
905 F.2d 1276 (9th Cir. 1990) 5, 6

United States v. *Arthur Young & Co.*,
465 U.S. 805 (1984) 35, 36

United States v. *Baucus*,
377 F. Supp. 468 (D. Mont. 1974) 6, 40

United States v. *Chen*,
99 F.3d 1495 (9th Cir. 1996) 34

United States v. *Cote*,
456 F.2d 142 (8th Cir. 1972) 5, 39, 41

United States v. *El Paso Co.*,
682 F.2d 530 (5th Cir. 1982) 32, 33, 38

United States v. *Euge*,
444 U.S. 707 (1980) 36, 37

United States v. *Frederick*,
182 F.3d 496 (7th Cir. 1999) 9, 29, 35

United States v. *Jicarilla Apache Nation*,
564 U.S. 162 (2011) ..... passim

OPINIONS BELOW

The Ninth Circuit's amended opinion regarding dual-purpose communications and its order denying the petition for rehearing are published at 23 F.4th 1088. Pet. App. 1a. The Ninth Circuit's memorandum opinion regarding other privilege issues is sealed and unpublished. Pet. App. 13a. The contempt order of the district court is sealed and unpublished. Pet. App. 20a. The redacted in-chambers order of the district court granting in part the government's motion to compel is sealed and unpublished. Pet. App. 23a.[1]

OPINIONS BELOW

The Ninth Circuit's amended opinion regarding dual-purpose communications and its order denying the petition for rehearing are published at 23 F.4th 1088. Pet. App. 1a. The Ninth Circuit's memorandum opinion regarding other privilege issues is sealed and unpublished. Pet. App. 13a. The contempt order of the district court is sealed and unpublished. Pet. App. 20a. The redacted in-chambers order of the district court granting in part the government's motion to compel is sealed and unpublished. Pet. App. 23a.

JURISDICTION

On September 13, 2021, the Ninth Circuit entered its judgment. On January 27, 2022, the Ninth Circuit denied a petition for rehearing and issued an amended panel opinion. The jurisdiction of this Court rests on 28 U.S.C. 1254(1).

JURISDICTION

On September 13, 2021, the Ninth Circuit entered its judgment. On January 27, 2022, the Ninth Circuit denied a petition for rehearing and issued an amended panel opinion. The jurisdiction of this Court rests on 28 U.S.C. 1254(1).

FEDERAL RULE OF EVIDENCE INVOLVED

Federal Rule of Evidence 501 provides:

> The common law—as interpreted by United States courts in the light of reason and experience—governs a claim of privilege unless any of the following provides otherwise:
>
> - the United States Constitution;
> - a federal statute; or
> - rules prescribed by the Supreme Court.

But in a civil case, state law governs privilege regarding a claim or defense for which state law supplies the rule of decision.

FEDERAL RULE OF EVIDENCE INVOLVED

Federal Rule of Evidence 501 provides:

The common law—as interpreted by United States courts in the light of reason and experience—governs a claim of privilege unless any of the following provides otherwise:

- the United States Constitution;
- a federal statute; or
- rules prescribed by the Supreme Court.

But in a civil case, state law governs privilege regarding a claim or defense for which state law supplies the rule of decision.

[1] The district court issued two versions of its order, redacting certain information from Petitioner's copy and redacting different information from the government's copy. The version of the order contained in the Petition Appendix combines those redactions, removing all text redacted from each version of the order. The redacted information is not relevant to the question presented.

[1] The district court issued two versions of its order, redacting certain information from Petitioner's copy and redacting different information from the government's copy. The version of the order contained in the Petition Appendix combines those redactions, removing all text redacted from each version of the order. The redacted information is not relevant to the question presented.

INTRODUCTION

But in a civil case, state law governs privilege regarding a claim or defense for which state law supplies the rule of decision.

INTRODUCTION

The attorney-client privilege is a cornerstone of the American legal system. Without it, clients could not freely share information with their lawyers, and lawyers could not give their clients full and frank advice. Clients, however, routinely seek advice from lawyers with multiple goals in mind. And lawyers often respond in a way where legal and non-legal advice is intertwined. Those intertwined communications are known as "dual-purpose" communications. The Ninth Circuit in this case held that courts must evaluate all of the purposes for such a communication to determine the single primary purpose, and that the communication is privileged only when that one primary purpose is legal advice.

That approach is wrong. It unduly narrows the privilege because it withdraws protection from attorney-client communications that have a significant legal purpose any time a judge makes a *post hoc* determination that the communication also had some other, more important purpose. That inquiry requires courts to engage in an *ad hoc* balancing exercise that will create unacceptable uncertainty and deter open dialogue between lawyers and their clients.

To ensure that the attorney-client privilege receives appropriate protection in the context of dual-purpose communications, courts should ask a more straightforward question: whether the communication has a significant legal purpose. If it does, the attorney-client privilege should and must apply. That test faithfully implements the core purposes that the attor-

context is particularly important given the extraordinary complexity of the tax code and the need to encourage taxpayers' voluntary compliance.

5

STATEMENT

Petitioner was subsequently served with a grand jury subpoena seeking documents in connection with a criminal tax investigation of the Client. Pet. App. 23a, 31a. In response to the subpoena, Petitioner produced over 20,000 pages of records, but withheld certain documents based on attorney-client privilege and the work-product doctrine. Pet. App. 31.

b. The attorney-client privilege protects from disclosure confidential communications between attorney and client made to obtain or provide legal advice. See *Fisher* v. *United States*, 425 U.S. 391, 403 (1976); Restatement (Third) of the Law Governing Lawyers § 68 (2000) (Restatement). "Its purpose is to encourage full and frank communication between attorneys and their clients and thereby promote broader public interests in the observance of law and administration of justice." *Upjohn*, 449 U.S. at 389.

In the tax context, courts have routinely held that "[t]ax advice rendered by an attorney is legal advice within the ambit of the privilege." *In re Grand Jury Subpoena Duces Tecum Dated Sept. 15, 1983*, 731 F.2d 1032, 1037 (2d Cir. 1984); *accord, e.g.*, *United States* v. *Abrahams*, 905 F.2d 1276, 1284 (9th Cir. 1990) ("[C]ommunications made to acquire legal advice about what to claim on tax returns may be privileged."), *overruled on other grounds by United States* v. *Jose*, 131 F.3d 1325 (9th Cir. 1997); *United States* v. *Cote*, 456 F.2d 142, 144 (8th Cir. 1972) (holding that communications designed to address "whether the taxpayers should file an amended return undoubtedly involved legal considerations which mathematical calculations alone would not provide" and were therefore privileged). But, particularly if an attorney is preparing a client's tax returns, not all communications will necessarily fall within the attorney-client privilege.

For example, conveying the amount of a taxpayer's income on a W-2 form or names of dependents so that the attorney can list that information on a tax form would not be privileged.[2]

c. Some of the communications Petitioner withheld on the basis of attorney-client privilege were made both to allow Petitioner to provide the Client with legal advice about how to comply with the tax laws and to facilitate Petitioner's mechanical preparation of the Client's tax returns. These "dual-purpose" communications included, for example, interpretations of unsettled statutory requirements regarding whether certain assets are subject to Treasury Department foreign reporting requirements, strategies for filing amended income tax returns, and the Client's questions about and comments on draft submissions to the IRS advocating for the abatement of a penalty assessment. See Part IV, *infra*.

The government filed a motion to compel Petitioner to produce the withheld records. Pet. App. 31a.

[2] Several courts have held that communications with an attorney "made *solely* for tax return preparation are not privileged." *Abrahams*, 905 F.2d at 1284. This Court need not address here precisely where the line falls between communications related to the mechanics of preparing a return or effectuating basic mathematical calculations, which would not be privileged, and communications to ensure that a filed return complies with the Internal Revenue Code, which should be privileged because they will require judgments about what the law allows or requires. See *United States* v. *Baucus*, 377 F. Supp. 468, 472-73 (D. Mont. 1974) (finding privileged the transmission of raw data to attorney "for the attorney to use his discretion to determine what portion of such information to insert on the income tax return." (citation omitted)).

district court ordered redactions of the privileged portions. Pet. App. 54a & n.7.

In the same subsection (§ 4.A.4.c.2 of the decision) in which the district court held that the dual-purpose communications were not privileged under the "primary or predominate purpose" test, it separately found that other communications were not protected because one of Petitioner's non-lawyer accountants "provided advice as an accountant." Pet. App. 54a. The district court found, however, that this same accountant often served as an agent for the Client's attorneys, and when she acted in that agent role, communications between her and the Client for the purpose of obtaining legal advice were privileged. Pet. App. 51a; see also *United States v. Kovel*, 296 F.2d 918, 921 (2d Cir. 1961) ("the privilege must include all the persons who act as the attorney's agents") (quoting 8 Wigmore, Evidence § 2301 (1961 ed.)). The district court ultimately ordered the production of 54 documents (with the court-ordered redactions) as not privileged based on this part of its decision without specifying which of the two rulings in the subsection applied to each document. Pet. App. 54a; Pet. App. 78a-138a.[3]

Petitioner declined to produce the documents. The district court subsequently held Petitioner in contempt for its non-compliance. Pet. App. 20a. The court

[3] Given the grouping in the district court order, Petitioner submitted a list of all 54 of those documents to the Ninth Circuit under the heading of "dual-purpose" documents. CA9 Opening Br. at 25 & n.15; *id.* at 59-60 (Ex. A). All of these 54 documents are included in the Sealed Joint Appendix, with the court-ordered redactions shown.

SUMMARY OF THE ARGUMENT

The court of appeals adopted a test for attorney-client privilege that fails to protect the ability of clients to seek and obtain the full and frank advice of their lawyers. Every day, clients seek lawyers' advice for overlapping legal and non-legal purposes. By withdrawing the protection of the attorney-client privilege from such dual-purpose communications whenever a court later makes an ad hoc judgment that the non-legal purpose outweighs the

ARGUMENT

I. Dual-Purpose Communications Are Entitled To Robust Attorney-Client Privilege Protection

1. "The attorney-client privilege is the oldest of the privileges for confidential communications known to the common law." *Upjohn*, 449 U.S. at 389. Decisions about the scope of the privilege are "guided by the principles of the common law * * * as interpreted by the courts * * * in the light of reason and experience." *Swidler & Berlin*, 524 U.S. at 403 (quoting Fed. R. Evid. 501). The privilege protects from disclosure confidential communications between a client and attorney made to obtain or provide legal advice. See *Fisher*, 425 U.S. at 403; Restatement § 68; 8 Wigmore, Evidence § 2292.

This Court has long recognized that a robust attorney-client privilege safeguards vital public interests. As the Court explained in *Upjohn*, the privilege "promote[s] broader public interests in the observance of law and administration of justice." 449 U.S. at 389; see also *Hunt* v. *Blackburn*, 128 U.S. 464, 470 (1888) (explaining that the attorney-client privilege is "founded upon the necessity, in the interest and administration of justice, of the aid of persons having knowledge of the law and skilled in its practice"). The privilege achieves those public interests by "encourag[ing] full and frank communication between attorneys and their clients," on the understanding that such open and honest dialogue will provide attorneys with the full information they need to provide "sound legal advice" to their clients. *Upjohn*, 449 U.S. at 389.

By the same token, this Court has long understood that affording too narrow a scope to the privilege

CONCLUSION

The judgment of the court of appeals should be reversed.

Respectfully submitted,

Daniel B. Levin
Counsel of Record
MUNGER, TOLLES & OLSON LLP
350 South Grand Avenue, 50th Floor
Los Angeles, CA 90071-3426
(213) 683-9135
Daniel.Levin@mto.com

November 16, 2022

No. 21-1397

IN THE

Supreme Court of the United States

IN RE GRAND JURY

On Writ of Certiorari to the United States Court of Appeals for the Ninth Circuit

---

BRIEF FOR THE PETITIONER

Evan J. Davis
HOCHMAN SALKIN TOSCHER PEREZ P.C.
9100 Wilshire Blvd., Suite 900W
Beverly Hills, CA 90212
(310) 281-3200
Davis@taxlitigator.com

Daniel B. Levin
Counsel of Record
Jeffrey Y. Wu
J. Max Rosen
MUNGER, TOLLES & OLSON LLP
350 S. Grand Avenue
50th Floor
Los Angeles, CA 90071-3426
(213) 683-9135
Daniel.Levin@mto.com

Donald B. Verrilli, Jr.
Rachel G. Miller-Ziegler
Dahlia Mignouna
MUNGER, TOLLES & OLSON LLP
601 Massachusetts Ave. NW
Suite 500E
Washington, DC 20001-5369
(202) 220-1100
Donald.Verrilli@mto.com

Counsel for Petitioner

Certificate of Compliance

I certify that this brief complies with the word limit of Supreme Court Rule 33.1(g), 13,000 words for a brief on the merits for a petitioner or appellant, and that it contains 2,271 words, excluding the parts that Rule 33.1(d) excludes.

Respectfully submitted,

Daniel B. Levin
Counsel of Record
MUNGER, TOLLES & OLSON LLP
350 South Grand Avenue, 50th Floor
Los Angeles, CA 90071-3426
(213) 683-9135
Daniel.Levin@mto.com

November 16, 2022

No. 21-1397

IN THE

Supreme Court of the United States

IN RE GRAND JURY

On Writ of Certiorari to the United States Court of Appeals for the Ninth Circuit

BRIEF FOR THE PETITIONER

Evan J. Davis
HOCHMAN SALKIN TOSCHER PEREZ P.C.
9100 Wilshire Blvd., Suite 900W
Beverly Hills, CA 90212
(310) 281-3200
Davis@taxlitigator.com

Daniel B. Levin
Counsel of Record
Jeffrey Y. Wu
J. Max Rosen
MUNGER, TOLLES & OLSON LLP
350 S. Grand Avenue
50th Floor
Los Angeles, CA 90071-3426
(213) 683-9135
Daniel.Levin@mto.com

Donald B. Verrilli, Jr.
Rachel G. Miller-Ziegler
Dahlia Mignouna
MUNGER, TOLLES & OLSON LLP
601 Massachusetts Ave. NW
Suite 500E
Washington, DC 20001-5369
(202) 220-1100
Donald.Verrilli@mto.com

Counsel for Petitioner